

Risk Management Checklist

Run through this checklist before executing ANY trade to protect your capital and trade with discipline.

Pre-Trade Checks

- **Rule 1: Never risk more than 1-2% per trade.** Calculate your exact lot size using a calculator based on your stop-loss distance.
- **Rule 2: Set a hard Stop Loss.** Mental stop losses do not work. Place the SL logically based on structure (e.g., below a swing low), not an arbitrary pip amount.
- **Rule 3: Ensure minimum 1:1.5 Risk-to-Reward.** If you are risking \$100, your realistic target should be at least \$150. If the setup doesn't offer this, skip it.
- **Rule 4: Check the Economic Calendar.** Are there major news events (NFP, CPI, FOMC) happening in the next few hours? Avoid opening new trades right before high-impact news.
- **Rule 5: Define daily limits.** Stop trading if you hit 3 losses in a row, or if you hit a 3-5% maximum daily drawdown. Live to trade tomorrow.
- **Rule 6: Mindset Check.** Are you revenge trading? Are you bored? If the setup doesn't strictly match your trading plan, close the charts.